



The Equity Research Checklist for Retail Investors

		Title	Answer	Sentiment	Weightage	Remarks	Sources	Status
INDUSTRY RESEARCH								
☐		What stage is the industry at? Innovation/ Growth / Maturity / Decline						
☐		What is the Market Size of the Industry?						
☐		Is the market size atleast 5x of company's sales?						
☐		Can the Industry Players increase price of their products each year?						
☐		What are the key success factors in the Industry?						
☐		Is there anything that keeps others from entering the industry?						
☐		Do the industry leaders stay same or keep on changing over years?						
☐		Are most companies in the industry, doing well or struggling?						
☐		Do they hold too much bargaining power over the companies in the Industry?						
☐		- Customers						
☐		- Suppliers						
☐		- Competitors						
☐		What are the Major Risks?						
☐		Is it regulated? Strict or Unlent?						
BUSINESS MODEL								
☐		What products/ services does the company sell?						
☐		How do they make their money? (Subscriptions/ ads/ selling products etc.)						
☐		Is the product/ service Unique? Can it stay that way?						
☐		Will the product/ service stay relevant 10 years from today according to you?						
☐		What are the substitutes? Why are they better? Are customers switching?						
☐		Is the company growing its market share?						
☐		What are the major costs associated with selling the product?						
☐		Are the costs fixed or variable?						
☐		What unique assets does the company have that competitors don't?						
KNOWING THE COMPANY								
☐		What is the rank of Company in the Industry? (in competitive sense)						
☐		How long company has been in existence?						
☐		Has it had the same business in the past decade?						
☐		Is the core business expected to grow in next decade?						
☐		What are the pros and cons of the company in comparison with competitors?						
☐		What are the Competitive Advantages and Disadvantages that the company has?						
☐		Is its growth Organic or acquired?						

MANAGEMENT									
☐	Who are the top level management?								
☐	How has the company performed under same management in the past?								
☐	What is their Compensation structure?								
☐	What promises they have made and fulfilled in the past?								
☐	Are the promoters shares pledged? If yes, then what percentage?								PENDING
☐	What is their holding %?								
☐	What % of management's net worth is this company?								
☐	Who are in Board of Directors?								
FINANCIAL STATEMENTS									
ANNUAL REPORT									
☐	What are the goals in Chairman's Letter and CEO's letter?								
☐	What is the Tone of Management? Openness/ Honesty/ Ethical/ Secretative								
☐	What are the Future Goals? Do they seem realistic to you?								
☐	What are their views on Foreseeable risk?								
☐	What were the matters for which Special Resolutions have been passed?								
INCOME STATEMENT									
☐	REVENUE								
☐	What are the Major sources of revenue?								
☐	What is the growth trend of revenue in the past?								
☐	What product lines are growing?								
☐	COST OF GOODS								
☐	What is its Gross Margin?								
☐	What are the major raw materials?								
☐	Does company benefits from economies of Scale?								
☐	EXPENSES								
☐	What are the largest expenses on a common-size Income Statement?								
☐	Are the costs in line with other industry players?								
☐	Check the breakup of major line items from Notes to accounts.								
☐	PROFITABILITY								
☐	Are the Fixed Costs too high?								
☐	Are the margins increasing/ decreasing?								
☐	What is contributing to margin change as per common size?								
☐	Is return on equity more than 15%? Is it changing?								
BALANCE SHEET									
☐	What is company's Debt to Equity composition?								
☐	What is the Fixed Asset turnover for the company?								
☐	What is the working capital turnover for the company?								
☐	What are the biggest line items on the Balance Sheet?								
☐	How are the bigger line items changing over the years?								
CASHFLOW STATEMENT									
☐	Does this company have a cash flow from operations in line with the Profit After Tax over years?								
☐	How is the company using the capital over the years? (in CFI and CFF)								
☐	Capital Expenditure								
☐	- Acquisitions								
☐	- Dividends								
☐	- Buybacks								
☐	Does the company generate free cash flow consistently over the years (CFO - CFI)								

FINANCIAL RATIOS									
☐	Historical Performances of last 10 years:								
☐	- Gross margin								
☐	- EBITDA Margin								
☐	- EBIT Margin								
☐	- Return on Equity								
☐	- Return on Capital employed								
☐	- Return on Assets								
☐	Does the company generate ROE more than 15%								
☐	Does the company generate ROCE more than 12%								
OWNERSHIP									
☐	Who are the major investors in the company?								
☐	What is Promoters holding? Is there any change in last 2-5 Years?								
☐	Have the promoters bought any additional stake in the business recently?								
☐	Are the Institutional investors increasing or decreasing their ownership in the company?								
VALUATION									
☐	What is the book value of company and per share?								
☐	What is Market Value/ Earnings?								
☐	Enterprise Value/EBITDA								
☐	Does the company have good expected return on Exit Multiple Table?								
☐	Are the valuation ratios within the historical valuation bands?								
☐	What is company's Growth rate in terms of?								
☐	- Earnings								
☐	- EBITDA								
☐	- Free Cash Flow								
☐	Are there any risks or threats to the survival of the company in next 5 years?								
QUESTIONS TO ASK									
☐	Does company have room to expand its core business?								
☐	Can it survive for long?								
☐	What are the 2-3 major risk factors? Eg: Ban on Plastic is Major risk for Plastic bag MFT.								
☐	Can you imagine yourself holding this company's stock for 5 years?								
☐	If someone had unlimited resources, what are the chances that they could become a good competition?								
☐	Will it help you diversify your Portfolio in business?								
☐	Has it earned good returns consistently in the past? Will it sustain?								
☐	Is something changing in the business? New product/ Management/ M&A/ Entry in new markets								

Scan this QR Code
to download the
check list!

